

APPENDIX 5

The Role of Starting Period Valuations in Determining Investment Returns

Our analysis shows that contrary to popular expectations, starting period valuations do not play a role in determining returns over a medium-to-long term horizon. As shown in the exhibits that follow, the BSE 200 universe of stocks has had no significant correlation between starting period valuations (as at the beginning of the concerned period) and subsequent long-term returns no matter which phase of the stock market one looks at.

Scenario 1 (defensive phase of the stock market): The first scenario considers the five-year period of FY2012–17 and the three-year period of FY2014–17 during which high-quality stocks were in vogue. As can be seen clearly, there is no significant correlation between the returns profile and the starting price multiples of the index constituents.